SMID BREAKOUT SCANNER

SCAN (14:45 ET)

October 16, 2026 | 02:47 PM ET

3 setups identified | 0 A-Grade | 2 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (2)	C - Watch List (1)
	TALO	HVT-A
	VRNS	

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	TALO	Talos Energy, In	Energy / Gulf of	$17.54	+3.3%	$2.9B	136M	+16.6	94%	Current move driven by
B	VRNS	Varonis Systems,	Cybersecurity / D	$48.69	+2.9%	$5.6B	111M	+3.3	76%	Current breakout drive
C	HVT-A	Haverty Furnitur	Consumer Cyclical	$28.99	+1.3%	$0.5B	14M	+0.6	64%	

Not financial advice. For informational purposes only. Do your own due diligence.

TALO

Talos Energy, Inc.

$17.54

+3.30%

RS vs SPY: +16.6%

B STRONG SETUP

$2.9B Cap | 136M Float

Oil & Gas E&P | Theme: Energy / Gulf of Mexico E&P | 52W Hi: 94% | Base Tight: 1.66 | Vol: 2.0x | RS/SPY: +16.6% | Above 20MA: YES | EARNINGS IN 18D

SETUP METRICS

Price	**$17.54**
Day Change	**+3.30%**
Mkt Cap	**$2.93B**
Float	**136M sh**
RS vs SPY	**+16.6%**
52W Hi Prox	**94%**
Base Tight	**1.66**
Vol vs Avg	**2.0x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Current move driven by sector rotation into Energy (+10.5% vs SPY this week) and rising oil prices benefiting Gulf of Mexico exposure. Forward catalyst: Nov 3 earnings print (18 days) where a beat on $130+ WTI could drive re-rating, plus potential reserve expansion or production guidance raise given recent acquisition activity in the sector.

BUSINESS & POSITION

Talos Energy is a Gulf of Mexico-focused E&P company with offshore oil and gas assets, carbon capture initiatives, and recently expanded low-cost production via acquisitions. The company benefits from geopolitical preference for domestic energy and higher Gulf of Mexico pricing differentials.

FACTOR & THEME

Direct play on energy independence, domestic oil production, and the reshoring/energy security theme. Gulf of Mexico crude trades at premium to WTI given logistical advantages, and carbon capture optionality provides ESG angle. Energy sector is leading this week (+10.5% vs SPY), and oil remains structurally supported above $120.

BREAKOUT SIGNAL

Close above $17.50 on vol >2.0x of 20d avg

INSTITUTIONAL

Volume at 2.0x average is modest but clean for a $2.9B energy name; the tight 1.66 base suggests controlled accumulation rather than retail chase. Float of 136M is large enough for institutional participation. No recent insider buying is a minor negative, but energy funds have been rotating into domestic E&P this quarter. Short interest dynamics unknown from this dataset.

EARNINGS

EARNINGS IN 18D

EARNINGS CONTEXT

Nov 3 earnings date confirmed. Consensus and beat history not provided in dataset; recommend verifying EPS/rev expectations. Energy E&P names have surprised positively this year on cost discipline and higher realized pricing. A beat with production guidance raise would extend the breakout.

KEY RISK

Thesis invalid on a close back below $16.50 (the recent consolidation pivot), or on any production miss or reserve writedown at the Nov 3 print. Oil price sustained break below $115 WTI would pressure the entire sector and kill momentum.

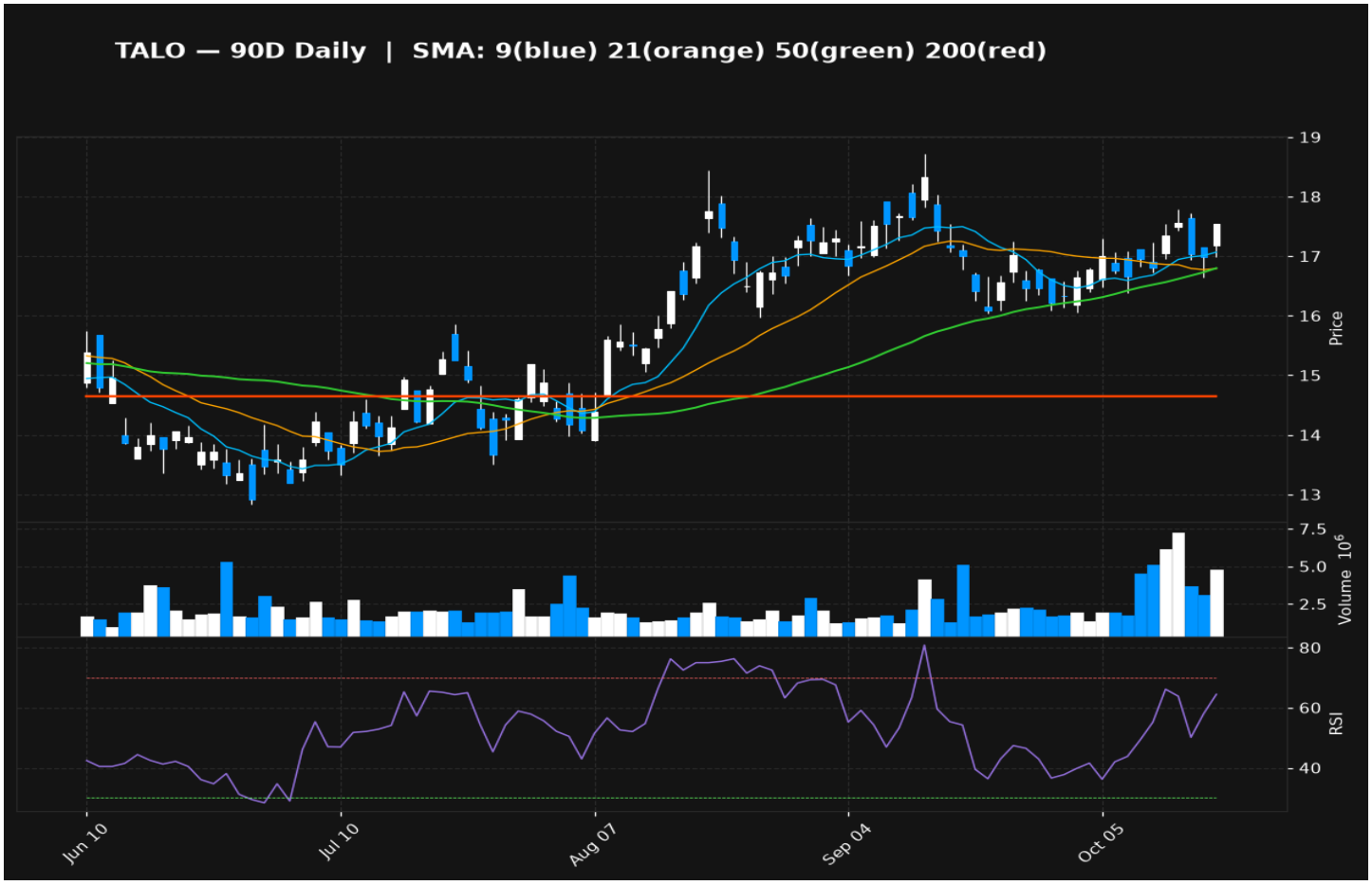
ANALYSIS

Strong sector tailwind (Energy +10.5% vs SPY) and textbook technical setup (prox_52w 93.7, base_tight 1.66, RS +16.6) position this well for the Nov 3 earnings catalyst. However, RS line is NOT at new high (critical Qullamaggie A-grade signal missing), and the macro regime is Mixed/Transitional with elevated VIX (21.5), which historically compresses breakout follow-through. The disconfirming evidence: energy can reverse violently on geopolitical headlines or demand concerns, and without RS line confirmation this is a sector-driven move, not true leadership. Conviction: Medium.

Signal: Close above $17.50 on vol >2.0x of 20d avg

Vol vs Avg: 2.0x

TALO - Technical Chart



VRNS

Varonis Systems, Inc.

$48.69

+2.85%

RS vs SPY: +3.3%

B STRONG SETUP

$5.6B Cap | 111M Float

Software - Infrastructure | Theme: Cybersecurity / Data Governance | 52W Hi: 76% | Base Tight: 2.11 | Vol: 24.05x | RS/SPY: +3.3% | Above 20MA: YES | EARNINGS IN 18D

SETUP METRICS

Price	**$48.69**
Day Change	**+2.85%**
Mkt Cap	**$5.59B**
Float	**111M sh**
RS vs SPY	**+3.3%**
52W Hi Prox	**76%**
Base Tight	**2.11**
Vol vs Avg	**24.05x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Current breakout driven by RS line reaching 52-week high (key early leadership signal) and volume surge to 24x average, suggesting institutional accumulation ahead of catalysts. Forward catalyst: Nov 3 earnings (18 days) where SaaS ARR growth and data security demand (post-breach headlines) could drive re-rating, plus potential inclusion in cybersecurity ETF rebalances given momentum and improved fundamentals.

BUSINESS & POSITION

Varonis specializes in data security and governance software, protecting unstructured data across cloud and on-prem environments. The company has transitioned to a SaaS model, driving recurring revenue growth and margin expansion, and benefits from rising enterprise spending on zero-trust and compliance.

FACTOR & THEME

Direct exposure to cybersecurity spending acceleration (post-breach regulatory tightening, AI-driven data proliferation requiring governance). SaaS transition aligns with cloud infrastructure theme. Healthcare sector (+5.9% vs SPY this week) is a major vertical for Varonis given HIPAA/compliance needs, adding thematic support.

BREAKOUT SIGNAL

Close above $48.50 on vol >20x of 20d avg

INSTITUTIONAL

Volume at 24.05x average is extreme and signals institutional block buying, not retail FOMO-this is the hallmark of smart money positioning ahead of the Nov 3 print. RS line at new high confirms early leadership per Qullamaggie methodology. Float of 111M is liquid enough for growth fund accumulation. No insider buying in the last 60 days is a minor negative but not disqualifying given the institutional volume profile.

EARNINGS

EARNINGS IN 18D

EARNINGS CONTEXT

Nov 3 earnings date confirmed. Consensus and beat history not provided; recommend verifying SaaS ARR growth rate and guidance. Cybersecurity software names have re-rated on recurring revenue beats and FCF inflection this year. A beat with raised ARR guidance would confirm the breakout.

KEY RISK

Thesis invalid on a close back below $46.00 (the base breakout pivot), or on any ARR guidance miss at the Nov 3 print. Cybersecurity has become crowded; a macro slowdown in enterprise IT spending would pressure multiples across the group.

ANALYSIS

RS line at new high (the single best Qullamaggie signal for early leaders) combined with 24x volume surge and tight 2.11 base suggests genuine institutional accumulation ahead of Nov 3 earnings. Prox_52w at 76.3 is below the ideal 85+ breakout zone, preventing an A-grade despite the RS confirmation. The disconfirming evidence: macro regime is Mixed/Transitional with VIX elevated to 21.5, and RS vs SPY is only +3.3 (modest outperformance)-this is early-stage leadership, not dominant. The Nov 3 catalyst is close enough to matter, but execution risk is real. Conviction: Medium.

Signal: Close above $48.50 on vol >20x of 20d avg

Vol vs Avg: 24.05x

VRNS - Technical Chart

